

should be expected that examples within an asset class will move together in some fashion. For example, leading up to the decision on the Winklevoss bitcoin ETF on March 10, 2017, bitcoin became increasingly correlated with ether and monero, and increasingly negatively correlated with litecoin (see [Figure 9.14](#)).

Since litecoin is such a close derivative of bitcoin, investors likely became concerned that people would rotate out of litecoin and move into bitcoin if the bitcoin ETF was approved. Ether and monero, on the other hand, are significantly different cryptoassets and therefore are held as complementary to bitcoin in a crypto portfolio. As bitcoin rose and fell, so too did these assets. This reinforces the need for the innovative investor to become knowledgeable about these assets' specific characteristics and recognize where correlations may or may not occur.